

EG Daily Brief: Hormuz closure risk hits 35% as shaky peace holds

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Daily Brief: Hormuz closure risk hits 35% as shaky peace holds

Iran war outlook | Trump's arms sales | US affordability pressure | EU power costs | Upcoming conference calls | EG in depth

summary

- * EG has lowered the odds of its shaky peace basecase to 60% and raised the odds of a Strait of Hormuz closure and renewed escalation to 35%.
- * President Donald Trump's hints at F-35 sales to Turkey and announcement of Patriot coproduction in Ukraine at the NATO summit are both positive for the US defense industry.
- * White House affordability pressure on consumer-facing corporations will intensify ahead of November midterms.
- * Lower wholesale power prices before 2030 should relieve Europe's struggling industries and fuel growth in AI, transport, and industrial electrification.
- * Regions, countries, and sectors covered in this edition include the US, Argentina, China, Ecuador, the EU, Ghana, Iran, Venezuela, oil, and energy, climate & resources.

the top line

Iran, MENA Crisis—Iran war and ceasefire outlook

- * On a conference call, analysts discussed EG's basecase that a shaky peace will hold (cut to 60% from 65%) and the higher odds of a Strait of Hormuz closure and renewed escalation (to 35% from 25%), driven by Iran's push to cement control over the strait.
- * Iran's attacks on shipping are strategic, aimed at formalizing its leverage over the strait and encouraged by perceptions that the US is reluctant to return to full-scale hostilities.
- * A Saudi-UAE oil price war is emerging alongside the geopolitical uncertainty, with both competing aggressively for market share.
- * Read more here and see conference call notes here . Reach out to discuss: mena@eurasiagroup.net .

US—Trump's arms sales announcements are positive for US defense industry

- * Before the NATO Summit, Trump hinted at approving F-35 sales to Turkey—barred from the program since 2020 and under broader arms restrictions since 2019, both penalties for purchasing Russian S-400 missile defense systems.
- * Turkey remains ineligible until it removes those systems and commits not to acquire more, but with Secretary of State Marco Rubio holding discretionary authority to override objections, bipartisan congressional opposition is unlikely to bind Trump.
- * Trump also announced Ukraine will receive licenses to produce Patriot air-defense interceptors—a welcome signal to NATO partners—but the move will have minimal strategic impact in the short to medium term. Tech transfer, licensing, and supply chain processes mean a production line is likely years away.
- * Both announcements benefit the US defense industry, preserving American in-roads and new business opportunities despite growing "Buy European" sentiment.
- * Read more here . Reach out to discuss: unitedstates@eurasiagroup.net .

US—Affordability pressure on big corporations will persist

- * The Department of Agriculture's requests to large grocers that they reduce beef prices ahead of the 4 July holiday is the latest instance of the pressure campaign the White House will maintain on consumer-facing companies going into the midterm elections in November.
- * Affordability remains a top issue for voters, dragging down Republicans, but with few legal or policy mechanisms at its disposal to bring down prices directly, the White House will opt for relying on a combination of public and behind-the-scenes pressure.
- * How companies respond to this pressure—and particularly whether they reduce prices in tandem with tariff refunds—will likely be an important factor in determining whether they are in the administration's good graces in 2027.
- * Read more here . Reach out to discuss: unitedstates@eurasiagroup.net .

Europe, Energy, Climate, & Resources—Wholesale electricity costs will fall sharply before 2030

- * Lower wholesale power prices before 2030 should relieve Europe's struggling industries and fuel growth in AI, transport, and industrial electrification.
- * New power generation, storage, and transmission capacity should fuel demand and bring down prices before 2030, but prices will remain volatile until around 2028 as renewables expand faster than storage.
- * Longer term, lower volatility may weaken market liquidity, increasing reliance on power purchase agreements and similar investment tools.
- * Read more here . Reach out to discuss: ecr@eurasiagroup.net .

Upcoming conference calls

* 9 July 9:00 PM ET—On the ground in China: Assessing the reset of China-US relations and rising China-EU and China-Japan tensions. [Register here](#) .

eg in depth

China—Recent engagement with key officials: On an EG conference call, analysts discussed how Beijing's post-summit mood borders on worrisome exuberance: officials believe they fought Trump to a draw on tariffs, and that detente got a shot in the arm—raising expectations that may not be met. China sees Trump as a Washington unicorn who wants a deal his Cabinet doesn't. Beijing's strategy: build institutions before 2028, making them harder for any successor to dismantle. China's regulatory arsenal is for deterrence, not imminent action, but risks putting US companies in a compliance crossfire. The People's Liberation Army says it will likely solve its amphibious bottleneck by 2027, but Taiwan remains a longer-term risk. [Read more here](#) . Reach out to discuss: china@eurasiagroup.net .

Venezuela—Rodriguez reshuffles cabinet as reconstruction enters new phase: On 7 July, interim President Delcy Rodriguez announced a cabinet reshuffle alongside the launch of the Venezuela Renace reconstruction plan, seeking to strengthen her administration's economic management and recovery efforts amid mounting scrutiny over its underwhelming response to the 24 June earthquakes. The reshuffle and reconstruction plan suggest Rodriguez is seeking to demonstrate greater administrative capacity after the earthquakes. However, the latest AtlasIntel poll showed Rodriguez's approval falling to 24%, and continued mismanagement of the crisis will likely increase calls for a political transition. [Read more here](#) . Reach out to discuss: latinamerica@eurasiagroup.net .

Argentina—Milei pushes central bank reform in a narrow legislative window: During an interview on 7 July, President Javier Milei touted a planned central bank reform, which he said will include a US-style fiscal shutdown mechanism. The government is reportedly planning to submit the central bank reform bill by August, which would codify central bank independence by banning any directive to finance the Treasury. The legislative path, however, is narrowing: several major bills are already competing for congressional attention, and as the 2027 electoral cycle approaches, the political cost of assembling majorities will likely rise. [Read more here](#) . Reach out to discuss: latinamerica@eurasiagroup.net .

Ghana—Eurobond payment will support path to regaining market access: The finance ministry settled a \$700 million Eurobond obligation on 2 July, bringing total payments to bondholders to \$2.58 billion since October 2024—a sign of the authorities' commitment to restoring investor confidence. A return to the domestic bond market after a three-year absence, and state-owned cocoa company COCOBOD's shift to local-currency bonds, signal a broader localization of financing. The 2026 budget does not envision returning to international markets, but restructured domestic maturities due in 2027 and 2028 may force external borrowing. The mid-year budget review this month should clarify the path. [Read more here](#) . Reach out to discuss: africa@eurasiagroup.net .

Ecuador—New extradition law will deepen US security cooperation: With 139 votes in favor and one abstention, the national assembly unanimously approved a new extradition law on 7 July. The

legislation defines specific responsibilities during the process and sets up a specialized unit that reviews every case, which would expedite the extradition process. The law will likely deepen security cooperation with the US, as it will facilitate the extradition of high-profile criminals. The issue remains popular among the electorate, as the question of allowing extraditions received strong support in the 2024 referendum. Read more here . Reach out to discuss: latinamerica@eurasiagroup.net .

The EG Daily Brief is compiled by Jens Larsen, Lucy Eve, Babak Minovi, Pietro Guglielmi, Rahul Bhatia, Marilia Sirio, Joseph Craven, Martina Silva, Sol Lopes, and Trista Kelley, with help from Marina Tavares, and Astral Betteridge.

closing quip

This is in retribution for yesterday's bombing of ships by Iran. If it happens again, it will get much worse!"—Trump posted on Truth Social on 8 July, referring to US strikes.

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Explanation of Political Trajectories (ie, "Trajectories")

Eurasia Group's (EG) Political Trajectories are indicators of the net impact of political factors on the macro business environment in a country over specific timeframes. For each country, two Trajectories are provided, a short-term (6 months) and a long term assessment (24 months). Trajectories are assigned by Eurasia Group's country analysts through a structured qualitative process. Each Trajectory represents a net assessment, indicating how political changes in a country impact the macro business environment, defined as the economic and investment climate in the country. Once initiated, Trajectories are updated both periodically and as events warrant. Trajectories may be suspended from time to time if there is no active analyst opinion or analyst coverage, but the opinion or coverage is expected to resume. Trajectories can be:

Positive: Political factors in the country are anticipated to have a positive impact on the macro business environment

Neutral: Political factors in the country are anticipated to have a neutral or negligible impact on the macro business environment

Negative: Political factors in the country are anticipated to have a negative impact on the macro business environment

Disclaimers: Trajectories are solely for informational purposes and should not be relied upon as investment advice. Trajectories do not indicate asset price movements, and have no value in forecasting market prices. Trajectories are based on data and analysis we deem to be reliable; they are not guaranteed as to accuracy or completeness. The Trajectories indicate the political outlook in a single country, over time. Trajectories do not address sector-specific or city/regional political risks that are often different than the country-level outlook. Trajectories represent an analyst's net qualitative

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